these agencies feature important deviations from good governance principles for regulators. [7] There is arbitrary power in regulation-making, licensing, investigation, and prosecution. At an early stage of development of state capacity, substantial powers of investigation and punishment have been placed at regulators, which has hampered the emergence of state capacity.

The regulation-making and licensing powers have been used, in India, to create a comprehensive central planning system, where every product and process of the private sector is controlled by the financial agencies. These interventions often have no foundation in terms of market failure. As an example, SEBI controls the time of day at which exchanges start and stop their operations. Similarly, SEBI now has de facto control of the names of the board of directors and the management team of exchange institutions. This is a level of central planning that was not found with industrial firms in India in 1991.

An unusual feature of regulators in India, which is not seen elsewhere in the world, is that the judicial function has also been placed at regulators. When this is done, regulators fuse the legislative, executive and judicial branches of the state. There is no separation of powers, and conventional civil servants, who lack judicial independence, are playing the role of a judge. This is an unusual arrangement, given that separation of powers is part of the ‘basic structure’ doctrine of Indian constitutional law. [8]

As a consequence of these infirmities in the foundations of public administration of financial regulators, the state capacity in financial regulation which has come about is limited. We have a crisis-ridden financial system that does a poor job of raising financial resources and allocating them into the real economy.

While RBI does monetary policy, it also does many other things. As an example, it does financial regulation and runs exchange infrastructure for the bond market and the currency market. This sprawling agenda has hindered focus and accountability, and engendered low performance.

There are four clear tasks in financial economic policy: monetary policy, financial regulation, resolution, and public debt management. Many other